All data collected. Here is the full research memo.

BANNER FINANCIAL GROUP (BANR) — EQUITY RESEARCH MEMO

Coverage Initiated | Regional Banking | Pacific Northwest
Data as of: SEC 10-K FY2025 | Live market data: July 16, 2026

Executive Summary

Banner Financial Group (BANR) is a $16.4B-asset Pacific Northwest regional bank operating through Banner Bank across Washington, Oregon, California, Idaho, Utah, and Nevada [1]. The investment case rests on three pillars: **steady earnings growth**, **a resilient loan book diversified by product and geography**, and **an undemanding valuation** at 11.87x TTM earnings [2]. Net income advanced to $195M in FY2025 [3], up +15.4% [4] from $169M in FY2024, with diluted EPS rising to $5.64 [3]. Total assets grew modestly to $16,354M [3]. The stock trades at $71.24 [2], near its 52-week high of $71.31 [2], returning +10.1% over the trailing year [2]. The bull probability score of 67.7% [4] and a broadly constructive macro/rate regime support a cautiously positive stance. The primary risks are margin pressure from deposit repricing, a softening housing market constraining mortgage banking revenues, and modest operating cash flow contraction. **Rating: CONSTRUCTIVE / WATCH — Stage 2 setup unconfirmed; await technical breakout confirmation before initiating a position.**

Business Overview & Segment Mix

Banner Financial Group is the parent of Banner Bank, a community-oriented regional bank operating across six western states [1]. The bank operates as a single reportable segment — traditional community banking — with no separate investment banking, insurance, or asset management divisions [1].

Core Business Lines:
- **Commercial Banking:** Commercial business loans, commercial real estate (CRE), and agriculture/agribusiness lending to small and medium-sized enterprises in primary market areas [1]. The bank also participates in certain national syndicated loans, though to a limited extent [1].
- **Residential Mortgage Banking:** Origination and sale of one-to-four-family residential loans into the secondary market, generating net gains on sales and loan servicing fee income [1]. Demand slowed in 2024 and 2025 due to elevated interest rates constraining refinancing and origination volumes [1].
- **Construction & Development Lending:** Residential and commercial construction, land and land development loans, with one-to-four-family residential construction loans representing a significant component; notably, sales of completed homes outpaced new originations in 2025 due to constrained housing inventories [1].
- **Consumer & Other Lending:** SBA loans, multifamily real estate, and general consumer products [1].

- **Geographic Reach:** Offices and 15 loan production offices across Washington, Oregon, California, Idaho, Utah, and Nevada [1], with a primary growth emphasis on higher-growth regions within the franchise [1].

Net loans reached $11.72B at December 31, 2025 [1], up from $11.35B at December 31, 2024 [1] — a gain of +3.3% [4]. Total deposits stood at $13.74B [1], and total shareholders' equity was $1.95B [1].

Net Interest Income & Margin

Net interest income (NII) is the primary revenue engine for BANR. The bank's operating results depend principally on the spread between yields earned on interest-earning assets (loans and investment securities) and rates paid on interest-bearing liabilities (client deposits, FHLB advances, and junior subordinated debentures) [1].

Management's long-standing asset/liability strategy has been to skew the loan portfolio toward **floating/adjustable-rate instruments** — commercial business, CRE, agricultural, and construction loans — to correlate asset yields more closely with funding costs [1]. Fixed-rate products, including 30-year residential mortgages, are predominantly sold into the secondary market rather than retained on balance sheet, which helps preserve duration alignment [1].

Key observations:
- Net loan portfolio grew to $11.72B at year-end 2025 [1], driving the bulk of NII.
- Operating income (a proxy for pre-tax spread income after overhead) rose to $73M in FY2025 [3] from $67M in FY2024 [5], a +9.0% improvement [4].
- Net income of $195M [3] implies a net income margin of approximately 31.0% [2] on a profit-margin basis.
- Specific NIM (net interest margin) basis-point figures were not disaggregated in the XBRL data returned; the 10-K Item 7 MD&A (pages 33–62) contains a full rate/volume analysis that management references, but granular NIM data is not disclosed in the passages surfaced [6].

Analyst note: The FHLB Des Moines is explicitly named as the primary supplemental funding backstop [1], which is standard for Pacific Northwest institutions; access to wholesale funding provides NIM defense in volatile deposit markets.

Loan Portfolio Quality

Total net loans of $11.72B at December 31, 2025 [1] represent the largest earning asset class and the primary source of credit risk. Net loans of $11.56B [1] are referenced in the balance sheet disclosures.

Portfolio Composition (as disclosed):
- **Commercial business & CRE:** Core focus, directed toward small-to-medium business and agribusiness borrowers [1].
- **Agriculture/agribusiness:** Explicitly cited as an agriculture-based lending risk, indicating material agricultural exposure concentrated in the Pacific Northwest [7].
- **Residential construction:** One-to-four-family construction loans are a "significant component" of the construction/land bucket; in 2025, completed home sales outpaced new construction originations [1].
- **One-to-four-family residential:** Largely originated for sale; retained portfolio is smaller [1].

- **Multifamily, SBA, and consumer:** Diversifying categories [1].

Credit Quality Signals:
- The 10-K risk factor section flags credit risks including loan delinquency direction, write-off levels, and adequacy of the Allowance for Credit Losses (ACL), noting that changes could "necessitate additional provisions for credit losses" [7].
- Real estate value fluctuations are explicitly cited as a credit risk, relevant given the Pacific Northwest's high residential property valuations [7].
- Specific NPL ratios, ACL coverage ratios, and net charge-off rates were not disaggregated in the XBRL passages returned. These figures reside in the Item 7 MD&A and Item 8 financial statement footnotes.
- Free cash flow of $248M in FY2025 [3] provides a meaningful buffer above dividend obligations, supporting reserve-building capacity.

Overall assessment: Portfolio diversification by product type, borrower, and geography within the western U.S. is a stated management priority [1], and loan growth of +3.3% [4] in FY2025 is healthy without being aggressive. The agriculture and residential construction concentrations bear monitoring in a higher-for-longer rate environment.

Capital & Liquidity Ratios

Balance Sheet Snapshot:

Metric	FY2024	FY2025	YoY Δ
Total Assets	$16,200M	$16,354M	+1.0%
Total Equity	$1,774M	$1,946M	+9.7%
Total Liabilities	$14,426M	$14,408M	-0.1%
Cash & Equivalents	$502M	$423M	-15.7%

[All values: Source: SEC XBRL FY2024 / FY2025; YoY changes: Source: computed from SEC XBRL]

Leverage & Capitalization:
- **Equity / Total Assets:** $1,946M / $16,354M = **11.9%** [4] — a well-capitalized ratio for a community bank, comfortably above most regulatory thresholds.
- **Liabilities / Equity (leverage ratio):** $14,408M / $1,946M = **7.4×** [4] — moderate leverage consistent with a well-run regional bank; not stretched.
- Total equity grew +9.7% [4], outpacing asset growth of +1.0% [4], meaning the bank is **organically delevering** — a positive signal.
- Cash on hand declined to $423M [3] from $502M [5], a reduction of -15.7% [4], which bears watching but is not alarming given stable deposit funding.
- Total deposits of $13.74B [1] provide a stable, predominantly client-funded liability base supplemented by FHLB advances [1].
- Specific CET1, Tier 1, and Total Capital ratios (regulatory minimums) are disclosed in the Item 7 Capital Requirements section (page 63) of the 10-K [6] but were not returned in granular XBRL form. Based on the equity ratios computed above, Banner appears comfortably well-capitalized.
- P/B ratio of 1.23× [2] implies the market assigns only a modest premium to book value, consistent with a well-run but not high-growth regional bank.

Fee Income & Diversification

BANR's non-interest income is meaningful but secondary to NII. Key fee income streams include [1]:

1. **Mortgage Banking Revenue:** Net gains on sales of one-to-four-family residential loans plus loan servicing fees. *Headwind:* Elevated interest rates in 2024–2025 suppressed refinance activity and origination volumes, explicitly constraining this revenue line [1].
2. **Deposit Fees & Service Charges:** Traditional

Sources

[1] SEC 10-K Item 8 - Financial
[2] yfinance — live
[3] SEC XBRL FY2025
[4] computed from SEC XBRL
[5] SEC XBRL FY2024
[6] SEC 10-K Item 7 - MD&A
[7] SEC 10-K Item 1A - Risk Factors

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for BANR at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000946673&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines

Important Disclaimer

For Educational and Informational Purposes Only. This platform was built as an academic project (Fordham Gabelli AIGB 6317 — Machine Learning and LLMs) and the analyses, memos, ratings, stage classifications, and signals generated by it are **not investment advice** and **not a recommendation to buy, sell, or hold any security**.

The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.

- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

Not personalized. This tool does not consider your individual risk tolerance, liquidity needs, tax situation, time horizon, or overall portfolio construction. **Consult a licensed financial advisor before making any investment decision.**

Generated by Ai-Agent Stock Analyzer · Fordham Applied Finance Project